IN THE NATIONAL COMPANY LAW TRIBUNAL BENGALURU BENCH, AT BENGALURU

C.P (CAA) No. 16/BB/2018
Under Section 230 to 232 of the Companies Act, 2013

Coram:

Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

In the matter of
Inflow Technologies Private Limited,
No.33 & 34, Indiranagar,
1st Stage, Off 100 Ft. Road,
Bengaluru-560038 - **Petitioner Company**

Date of Order: 11th May 2018

For the Petitioner (s): Mr. R.M Uday Shankar, M/s Uday Shankar Associates, Fortune Chambers, 1st Floor, No.8, Lalbagh Road, Richmond Circle, Bangalore-560027 Counsel and Authorised representative for the Applicants.

For the ROC & RD: Ms. Sinchana M.R, Standing Counsel for Central Government Advocate.

Per: Rajeswara Rao Vittanala, Member (Judicial)

O R D E R

1. This Company Petition is filed on behalf of the Petitioner Company under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Arrangement where under, it is proposed to issue shares out of the entire balance of Rs 29,93,86,337/- (Rupees Twenty Nine Crore Ninety Three Lakhs Eight Six Thousand Three Hundred and Thirty Seven only) standing to the credit of the Capital Reserve of the Petitioner Company as on 31st March 2017 which is binding upon all the Shareholders of the Petitioner Company.

2. Brief facts, leading to filing of the present Company Petition, are as follows:-

(1) The Petitioner Company was incorporated under the Companies Act, 1956 with a nominal capital of Rs 5,50,00,000/- divided into 55,00,000 Equity shares of Rs. 10/- each out of which Rs 3,45,78,780/- divided into 34,57,878 equity shares of Rs 10/- each were issued and paid up. The Registered office of the Petitioner Company is situated at No. 33 & 34, Indiranagar, 1st Stage, Off 100 Ft. Road, Bengaluru-560038.

(2) The main objects of the Petitioner Company is to design, invent, develop, manufacture, assemble, update, market, trade, buy, sell, alter, resell, remodel, lease and to deal in communication and networking products; to provide uni or multi-dimensional computer service covering computer time,; to function as consultants, render advisory, research, marketing and other services related to the information Technology and Telecommunications Industry; to engage in India or elsewhere and with or without collaboration in the business activities in electronic system, enterprise resource system for all types of industries and business activities etc., Copy of Certificate of Incorporation, Memorandum of Association of the Petitioner company is shown as **Annexure-B**.

3. The Board of Directors of the Petitioner Company has approved the Scheme of Arrangement vide its resolution dated 31st May 2017. Certified copy of the Board Resolution is shown as **Annexure-C**.

4. The Authorised Share Capital of the Petitioner Company as on 31st March 2017 is Rs 5,50,00,000/- divided into 55,00,000 equity shares of Rs 10/- and the Issued, subscribed and paid up equity share capital is Rs 3,45,78,780/- divided into 34,57,878 equity shares of Rs 10/- each. Subsequent to 31st March 2017, till the date of filing of this application, there has been no change in the share capital of the Petitioner Company. Certified copy of Audited Balance Sheet as on 31st March 2017 and unaudited Balance Sheet as on 31st December 2017 are shown as **Annexure-D & E**.

5. The compromise or arrangement was in the following terms:

   a. Upon the Scheme becoming effective, the company shall issue and allot 2,99,38,633 (Two Crore Ninety Nine Lakh Thirty Eight Thousand Six Hundred and Thirty Three) fully paid up equity shares in the Company, to all equity shareholders on the effective date, in proportion to their existing shareholding by utilizing the balance in the Capital reserve, primarily created on implementation of the Scheme of Amalgamation of erstwhile Inflow Technologies Private Limited with Ensicomm Solutions Private Limited which was approved by the Hon'ble High Court of Karnataka, effective from 19th September, 2015, consisting of Security premium, of Rs 14,85,69,867/- and difference between the value of net assets taken over and consideration paid on the merger of the Transferor Company of Rs 15,08,16,470/- totaling to Rs 29,93,86,337/-, as reflected in the books of accounts of the Company.

   b. Implementation of the Scheme of Amalgamation has resulted in creation of a significant amount of capital reserve (consisting of the balance of security premium in the books of the Transferor Company and the difference between the value of net assets taken over and consideration paid on merger of the Transferor Company).

   c. The Scheme is basically designed to help the shareholders at large and optimally utilize the surplus reserves by rewarding the shareholders by issue of shares. This will benefit the Company by improving its borrowing capacity. In this regard, the Board has decided to issue and allot 2,99,38,633 (Two Crore Ninety Nine Lakh Thirty Eight Thousand Six Hundred and Thirty Three) fully paid up equity shares of Rs 10/- each in the company.

   d. The proposed scheme would not be prejudicial to the interest of the members or creditors of the Company.

6. The Petitioner Company has filed a Company Application in CA(CAA) No. 79/BB/2017 with a prayer to convene the meeting of the Shareholders, Secured and Unsecured Creditors of the Petitioner Company, in a process for approval of the proposed Scheme of Arrangement. This Tribunal vide its order dated 28th November 2017 has allowed the application and directed the Applicant Company to convene the meetings of Equity Shareholders and Secured and Unsecured Creditors on 12th January 2018. Certified order copy of the Tribunal is shown as **Annexure-F**.
7. The Chairman appointed by the Tribunal has convened the meetings of Equity Shareholders, Secured and Unsecured Creditors on 12th January 2018. Wherein it was unanimously approved the scheme. The Chairman has submitted his report and the same is shown as **Annexure-J-2 & J-3**.
8. That the scheme does not adversely affect the rights of the creditors and the arrangement embodied in the Scheme of Arrangement; it does not contemplate any extinction or reduction of liability to any creditor of the Petitioner Company; the scheme also does not prejudice the interest of any of the creditors since the Transferee Company has sufficient assets and funds to assume liabilities towards the Applicant Company's creditors and the will be for the benefit of the company.
9. The Registrar of Companies, Karnataka has filed Affidavit dated 19/04/2018 on behalf of the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad with the following observations:-

1) The Registrar of Companies, Karnataka in his report dated 18/02/2018 at para No.25(1) and (2) has stated that the closing balance of capital reserve as on 31/03/2017 is Rs 13,78,77,653/- whereas as per company's standalone Balance Sheet and as per the Scheme it is Rs 29,93,66,337/-. The said capital reserve as per the consolidated financial statement is Rs 13,78,77,653/- Hence, ROC's observations may not be taken into account.

2) The capital reserve, as submitted by the Petitioner Company, had not arisen on account of revaluation of assets or due to notional entries and hence, is available for capitalization. However, the Petitioner, alternatively could have made the bonus shares under Section 63 of the Companies Act, 2013.

3) The Registrar of Companies, Karnataka has reported that the Petitioner Company involved in the proposed Scheme of Arrangement is regular in filing the statutory returns and no prosecutions, complaints, Technical Scrutiny and Inspections pending against the Petitioner Company.

4) That the proposed Scheme of Arrangement and other material papers have been examined, and this Hon'ble Tribunal may be pleased to consider the above submissions and to dispose off the petition on merits and pass such other order or orders as deemed fit and proper in the circumstances.

10. The learned Counsel for the Petitioner Company has filed the copy of Accounting Treatment Certificate of the Chartered Accountant **dated 18th August 2017** stating that the Accounting Treatment contained in the Scheme is in conformity with the Applicable Accounting Standards prescribed under Section 133 of the Companies Act, 2013. Copy of the said Certificate of the Chartered Accountant is shown as **Annexure-K**.

11. The learned Counsel for the Petitioner Company has filed an Affidavit dated 4th May 2018 stating that, no communication from any person objecting or intending to object the Scheme of Arrangement has been received pursuant to the publishing of the notice of the Petition dated 6th April 2018 in **The Hindu** in English language and **Udayavani** in Kannada Language.

12. Heard Shri R.M Uday Shankar, learned Counsel for Petitioner Company and Ms. M.R Sinchana, learned Standing Counsel for Central Government representing for Regional Director & ROC.

13. I have perused all the pleadings alongwith supported documents and extant provisions of the Companies Act, 2013.

14. The Petitioner Company has complied with all the requirements as contemplated under various provisions of Section 230 to 232 of the Companies Act, 2013, as mentioned supra and the Registrar of Companies, Karnataka and Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has also scrutinize the Scheme of Arrangement in question and find there is nothing adverse against the company and the scheme in general is not against public interest and have not violated any provisions of the Companies Act, 2013. Therefore, the Company Petition deserves to be disposed off.

15. In the result, by exercising powers conferred under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 on this Tribunal, Company Petition bearing C.P (CAA) No.16/BB/2018 is disposed off with the following directions:

(a) That the Scheme of Arrangement as set out in Annexure-A is hereby sanctioned and the same shall be binding on all Equity Shareholders, Secured and Unsecured Creditors of the Petitioner Company.

(b) The Petitioner Company is directed to file copy of this order along with copy of Scheme of Arrangement to the Registrar of Companies within 30 days on receipt of this order.

(c) The Petitioner Company is directed to carry out the various terms and conditions as mentioned in the instant Scheme of Arrangement under the extant provisions of the Companies Act,2013.

(d) Liberty is granted to any party who is aggrieved and not a party to this order when approach this Tribunal by way of Interim Application.

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL